

A dummy's guide to loan types

Home loans have two ingredients: the loan (the principal) and the interest. Standard types of home loans are fixed, variable and split, while interest-only loans are another option.

Fixed rate home loan

A set interest rate is locked onto the home loan for a period, commonly five years, meaning the loan is not vulnerable to interest rate rises and falls.

Pros

Over the medium term the amount of each repayment will be clearer, and salaries can be rationed out accordingly. The certainty of protection from interest rate rises is a blessing.

Cons

Not receiving the benefits of interest rate drops means less flexibility with the loan.

Variable rate home loan

This rate moves up and down in sync with interest rate cuts or increases, so repayment amounts will fluctuate.

Pros

There are often few limitations on how much extra can be paid off on the loan – if you have a bit of spare cash, month to month, you may decide to make a larger repayment.